

China Semiconductor Industry Quarterly Data

Briefing — Q2 2026

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Next Issue: Q3 2026 (expected November 2026)

What's Inside

本期关键词

China semiconductor market surpasses \$812B — up 92.9% YoY

Memory market explodes 262.9% to \$449.6B

IC exports hit \$177.3B in H1, up 96.1% YoY

IC output reaches 279.8B units in H1, up 23.1% YoY

Q2 semiconductor financing exceeds \$6B across 80+ deals

Three numbers that matter

China's semiconductor market is projected to reach \$812.1 billion in 2026 — up 92.9% year-over-year, the single largest upward revision in the sector's history.

Memory chips alone will account for \$449.6 billion — 55.4% of the total market, up from 29.4% in 2025, driven by AI infrastructure buildout.

****IC exports reached \$177.3 billion in H1 2026**** — nearly matching the full-year 2025 total of \$202 billion, with export prices surging 83.3%.

What changed this quarter

Omdia revised its 2026 forecast upward by \$265.6 billion — a 48.6% increase from Q4 2025 projections

Computing & Storage categories grew 126%, now representing 62.9% of the total application market

IC export price broke through \$1 per unit for the first time, reaching \$1.20 in June

China maintained its position as the world's largest semiconductor equipment buyer at \$11 billion in Q1

Part 1: Market Overview

1.1 Total Market Size

According to Omdia's Q2 2026 "Semiconductor Application Market Forecast Tool (AMFT) — China Region" report, China's semiconductor market is projected to reach **\$812.1 billion in 2026**, representing **92.9% year-over-year growth**.

This represents a ****\$265.6 billion upward revision**** (48.6%) from the Q4 2025 forecast of \$546.5 billion at 31.26% growth.

Global context: The global semiconductor market is expected to exceed **\$1.6 trillion** in 2026, with computing and storage categories accounting for over 60% of the market share.

1.2 Memory Market

Memory chips are the primary growth driver.

The memory market is projected to reach **\$449.6 billion in 2026**, up **262.9% year-over-year**.

Memory's share of China's total semiconductor market is expected to surge from **29.4% in 2025 to 55.4% in 2026**, and is projected to remain above 50% going forward.

Key driver: AI infrastructure buildout. Computing & Data Storage categories grew 126% and now account for 62.9% of the total application market.

1.3 Computing & Data Storage

The Computing & Data Storage segment grew **126%** in Q2 2026, now representing **62.9% of China's semiconductor application market**.

China, as one of the world's AI-dominant nations, is undertaking large-scale AI infrastructure construction throughout 2026, with computing and storage as the core beneficiaries.

1.4 IC Production

H1 2026 IC output reached 279.8 billion units, up **23.1% year-over-year**.

The semiconductor manufacturing sector has seen sustained double-digit growth in 2026. According to the China Semiconductor Industry Association, Q1 2026 deviated from traditional cyclical patterns, with shipment volumes nearly matching Q4 2025 levels.

Part 2: Export & Trade Data

2.1 IC Export Value

****H1 2026 IC exports reached \$177.28 billion**, up ****96.1% year-over-year****, approaching the full-year 2025 total of \$202.04 billion.**

June 2026 monthly exports: \$38.21 billion, up **122.2% year-over-year**, marking the fourth consecutive month of record highs.

2.2 Export Volume vs. Price

Export volume: 179.4 billion units in H1, up **7% year-over-year**.

Export unit price: \$0.99 on average in H1, up ****83.3% year-over-year****. June's price broke through ****\$1.20 per unit****, up from \$0.90 in March.

Key insight: Export growth is driven overwhelmingly by price appreciation — not volume expansion.

2.3 Product Mix

Top export categories (May 2026 data):

Category	Export Value	Share	YoY Growth
Memory	\$26.64B	74.8%	+251.2%
Processors & Controllers	\$5.28B	14.8%	-12.1%
Other ICs	\$3.23B	9.1%	+10.4%

Memory exports are the dominant force driving China's overall IC export growth.

2.4 Key Export Destinations

Primary markets: Hong Kong SAR remains the largest destination due to its re-export hub status (42.3% in 2024).

Direct markets (excluding re-exports): Vietnam ranks first at 13.21%, followed by South Korea (11.32%), Malaysia (5.18%), India (4.56%), and Singapore (2.43%). The top five account for 36.69% of total exports.

Part 3: Equipment Market

3.1 Global Equipment Market

Global semiconductor equipment sales reached **\$36.55 billion in Q1 2026**, up 14% year-over-year, setting a new Q1 record.

3.2 China Equipment Spending

China maintained its position as the world's largest semiconductor equipment buyer in Q1 2026, purchasing **\$10.99 billion** (approximately RMB 74.3 billion) in chip equipment.

This represents:

7% year-over-year growth

16% quarter-over-quarter decline (from Q4 2025)

Outpacing all other countries and regions in total spend

Including Taiwan region, China accounted for **\$19.76 billion** in equipment purchases — representing **54% of the global total**.

3.3 2026 Projections

Industry forecasts for China's semiconductor equipment market in 2026:

\$57.2 billion (maintained forecast)

\$51.0 billion (alternate projection, focusing on mature nodes and specialty processes)

Global 300mm wafer fab equipment investment is projected to grow **29% to \$52 billion** in 2026, with another **11% to \$57 billion** in 2027, driven by AI's strong demand for advanced memory.